

Name: Reliance Spinning Mills Ltd.
Subject: Statutory Audit Report
Period: Shrawan 1, 2081 to Ashadh 32, 2082 (July 16, 2024 to July 16, 2025)

A.P.M. & Associates
Chartered Accountants

Reliance Spinning Mills Ltd.

Statement of Financial Position

As at 16th July, 2025 (Ashad 32, 2082)

Amount in NPR

Particulars	Note	As at Ashad 32, 2082	As at Ashad 31, 2081
Assets			
Non Current Assets			
Property, Plant and Equipment	4	9,638,832,660.35	9,372,667,634.61
Capital work-in-progress	4.1	-	111,827,034.03
Right-of-use Assets	4.2	16,836,862.65	22,890,344.81
Intangible Assets	5	-	-
Financial Assets			
Other Financial Assets	6	3,045,925.01	3,005,925.01
Total Non Current Assets		9,658,715,448.01	9,510,390,938.46
Current Assets			
Inventories	7	2,204,371,745.89	2,165,469,108.45
Financial Assets			
Trade Receivables	8	1,423,457,212.72	1,158,639,021.20
Cash & Cash Equivalents	9	17,555,299.65	39,291,368.11
Other Financial Assets	10	1,349,138,355.69	1,296,117,748.08
Other Current Assets	11	250,719,697.44	526,738,519.70
Current Tax Assets (Net)	12	11,572,990.64	8,658,217.44
Total Current Assets		5,256,815,302.03	5,194,913,982.98
Total Assets		14,915,530,750.04	14,705,304,921.44
Equity and Liabilities			
Liabilities			
Non Current Liabilities			
Financial Liabilities			
Borrowings	13	2,945,475,791.99	3,085,149,073.54
Lease Liabilities	14	12,589,030.64	21,303,602.46
Other Financial Liabilities	15	2,341,566.85	2,087,443.21
Deferred Tax Liabilities (Net)	16	226,462,581.00	118,842,500.00
Provisions	17	15,089,128.00	14,850,910.00
Total Non Current Liabilities		3,201,958,098.48	3,242,233,529.21
Current Liabilities			
Financial Liabilities			
Borrowings	18	1,553,804,666.85	2,025,440,205.96
Trade payable	19	255,389,855.85	193,710,084.24
Lease Liabilities	20	8,229,257.76	5,006,120.80
Other Financial Liabilities	21	2,228,545,798.46	2,120,542,232.97
Other Current Liabilities	22	27,998,996.85	16,936,242.76
Provisions	23	108,404,248.85	48,400,253.68
Total Current Liabilities		4,182,372,824.62	4,410,035,140.41
Total Liabilities		7,384,330,923.10	7,652,268,669.62
Equity			
Share Capital	24	1,707,340,000.00	1,707,340,000.00
Other Equity	25	5,823,859,826.94	5,345,696,251.82
Total equity		7,531,199,826.94	7,053,036,251.82
Total liabilities and equity		14,915,530,750.04	14,705,304,921.44

The accompanying notes are an integral part of the financial statements.

For and on Behalf of Board

As per our report of even date

P.K. Golyan **S.K. Agrawal** **Akshay Golyan** **A.K. Somani**
Chairman Director MD CFO
Place: Kathmandu, Nepal
Date: 2082.08.01

CA Pravin Sarawagi
Partner
A.P.M. & Associates
Chartered Accountants

Reliance Spinning Mills Ltd.

Statement of Profit and Loss For the year ended Ashad 32, 2082

Amount in NPR

Particulars	Note	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Revenue From Operations	26	10,237,848,901.81	9,206,000,831.06
Cost of Sales	27	(8,748,464,353.90)	(8,340,940,505.47)
Gross Profit		1,489,384,547.91	865,060,325.59
Other Income	28	52,212,564.91	57,821,680.21
Selling and Distribution Expenses	29	(182,608,595.55)	(121,122,959.97)
Administrative & Other Expenses	30	(321,558,561.49)	(226,576,144.83)
Allowance for Expected Credit Loss	31	(261,285.56)	(2,419,111.68)
Operating Profit		1,037,168,670.22	572,763,789.32
Finance Costs	32	(443,404,448.31)	(472,691,458.26)
Profit/(Loss) Before Tax		593,764,221.91	100,072,331.06
Income Tax Expense	33	(117,952,242.79)	(49,688,537.90)
Profit/(Loss) for the year		475,811,979.12	50,383,793.16
Earnings Per Share (EPS)			
Basic EPS (Rs)		27.87	2.95
Diluted EPS (Rs)		27.87	2.95

The accompanying notes are an integral part of the financial statements.

For and on Behalf of Board

As per our report of even date

P.K. Golyan **S.K. Agrawal** **Akshay Golyan** **A.K. Somani**
Chairman Director MD CFO

CA Pravin Sarawagi
Partner

Place: Kathmandu, Nepal
Date: 2082.08.01

A.P.M. & Associates
Chartered Accountants

Reliance Spinning Mills Ltd.
Statement of Other Comprehensive Income
For the year ended Ashad 32, 2082

Amount in NPR

Particulars	Note	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Profit For The Year		475,811,979.12	50,383,793.16
Other Comprehensive Income			
Items that will not be reclassified to profit or loss			
Remeasurements of defined benefit obligations	36	2,690,613.00	-
Net fair value (Losses)/Gains on financial assets			
Quoted Promoter Shares		-	-
Quoted Ordinary Shares		-	-
Items that are or/may be reclassified subsequently to profit and Loss			
Deferred Tax asset / (liability) on other comprehensive Income	16	(339,017.00)	-
Total other comprehensive income, net of tax		2,351,596.00	-
Total comprehensive income for the Year		478,163,575.12	50,383,793.16

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For and on Behalf of Board

As per our report of even date

P.K. Golyan **S.K. Agrawal** **Akshay Golyan** **A.K. Somani**
Chairman Director MD CFO

CA Pravin Sarawagi
Partner

Place: Kathmandu, Nepal
Date: 2082.08.01

A.P.M. & Associates
Chartered Accountants

Reliance Spinning Mills Ltd.
Statement of Cash Flow
For the year ended Ashad 32, 2082

Amount in NPR

Particulars	Note	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
A Cash Flow from Operating Activities:			
Profit Before Income Tax		593,764,221.91	100,072,331.06
Adjustments for Non Cash Items:			
Depreciation & Amortization		487,750,800.17	448,123,886.42
Adjustments for non operating items: -			
Interest Expenses		443,404,448.31	472,691,458.26
Unrealised Exchange (Gain)/Loss		23,918,293.26	14,920,710.85
Profit on Sale of Fixed Assets		(6,713,638.83)	-
Sundry Balances Written Back		(512,715.23)	(11,238,559.81)
Sundry Balances Written Off		-	-
Interest Income		(33,592,387.69)	(21,160,243.58)
Operating Profit Before Changes to Receivables and Payables		1,508,019,021.90	1,003,409,583.20
(Increase)/Decrease in Trade & Other Receivables		(41,819,976.87)	(913,770,283.66)
(Increase)/Decrease in Inventories		(38,902,637.44)	398,632,771.78
(Decrease)/Increase in Current Liabilities		(251,600,417.78)	804,914,375.32
(Increase)/Decrease in Non-Current Assets		(40,000.00)	(610,039.00)
(Decrease)/Increase in Non-Current Liabilities		492,341.64	(4,669,359.50)
Cash Generated from Operations		1,176,148,331.45	1,287,907,048.14
Income Tax Paid		(13,585,951.99)	(4,251,262.49)
Net Cash Inflow from Operating Activities		1,162,562,379.46	1,283,655,785.65
B Cash Flow from Investing Activities :			
Proceeds From Disposal of Property and Equipment		8,201,000.00	967,748.44
Purchase of Property and Equipment, Capital work-in-progress and Intangible Assets		(637,963,865.50)	(241,280,643.21)
Interest Income		33,592,387.69	21,160,243.58
Net Cash Used in Investing Activities		(596,170,477.81)	(219,152,651.19)
C Cash Flow from Financing Activities :			
Equity Share Capital		-	-
Increase / (Decrease) in Long Term Loan		(139,673,281.55)	(367,406,144.67)
Principal component of Lease Liabilities		(5,050,240.25)	(4,457,631.63)
Interest Paid		(443,404,448.31)	(472,691,458.26)
Dividends Paid		-	(341,468,000.00)
Net Cash Flow From Financing Activities		(588,127,970.11)	(1,186,023,234.56)
Net Increase in Cash & Cash Equivalents	A+B+C	(21,736,068.46)	(121,520,100.10)
Opening Cash & Cash Equivalents		39,291,368.11	160,811,468.21
Closing Cash & Cash Equivalents		17,555,299.65	39,291,368.11

The accompanying notes are an integral part of the financial statements.

For and on Behalf of Board

As per our report of even date

P.K. Golyan **S.K. Agrawal** **Akshay Golyan** **A.K. Somani**
Chairman Director MD CFO

CA Pravin Sarawagi
Partner
A.P.M. & Associates
Chartered Accountants

Place: Kathmandu, Nepal
Date: 2082.08.01

Reliance Spinning Mills Ltd.
Statement of Changes in Equity
For the year ended Ashad 32, 2082

Amount in NPR

Particulars	Equity Share Capital	Other Comprehensive Income	Revaluation Reserve	Retained Earnings	Total
For the Year 2080-81					
At start of year	1,707,340,000.00	-	3,098,450,279.52	2,538,330,179.14	7,344,120,458.66
Profit for the year	-	-	-	50,383,793.16	50,383,793.16
Other comprehensive income	-	-	-	-	-
Change in fair value of financial assets through OCI	-	-	-	-	-
Revaluation of Land and Building through OCI	-	-	-	-	-
Deferred Tax Reserves	-	-	-	-	-
Transfer to retained earnings	-	-	(37,694,481.00)	37,694,481.00	-
Total comprehensive income for the year	-	-	-	-	-
Transactions with owners:	-	-	-	-	-
Ordinary Shares Dividend - Final	-	-	-	-	-
Ordinary Shares Dividend - Interim	-	-	-	(341,468,000.00)	(341,468,000.00)
Preference Shares Dividend	-	-	-	-	-
Issue of Share Capital	-	-	-	-	-
Balance as at Ashad 31, 2081	1,707,340,000.00	-	3,060,755,798.52	2,284,940,453.30	7,053,036,251.82
For the Year 2081-82					
At start of year	1,707,340,000.00	-	3,060,755,798.52	2,284,940,453.30	7,053,036,251.82
Profit for the year	-	-	-	475,811,979.12	475,811,979.12
Other comprehensive income	-	2,351,596.00	-	-	2,351,596.00
Change in fair value of financial assets through OCI	-	-	-	-	-
Revaluation of Land and Building through OCI	-	-	-	-	-
Deferred Tax Reserves	-	-	-	-	-
Transfer to retained earnings	-	-	(37,694,481.00)	37,694,481.00	-
Total comprehensive income for the year	-	-	-	-	-
Transactions with owners:	-	-	-	-	-
Ordinary Shares Dividend - Final	-	-	-	-	-
Ordinary Shares Dividend - Interim	-	-	-	-	-
Preference Shares Dividend	-	-	-	-	-
Issue of Share Capital	-	-	-	-	-
Balance as at Ashad 32, 2082	1,707,340,000.00	2,351,596.00	3,023,061,317.52	2,798,446,913.42	7,531,199,826.94

The accompanying notes are an integral part of the financial statements.

For and on Behalf of Board

As per our report of even date

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Chairman Director MD CFO

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Place: Kathmandu, Nepal
Date: 2082.08.01

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

1 General Information

Reliance Spinning Mills Ltd. is a public limited company domiciled in Nepal. The Registered Office of company is at Kamladi - 28, Kathmandu Metropolitan (Nepal). The date of incorporation of the company is on 28th Day of Baishakh, 2051 vide Registration No. 105117/50/51.

The company's principal activity comprises of manufacturing of yarns. The manufacturing facility of the company is located at Khanar & Duhabi, Sunsari.

2 Basis of Preparation

The financial statements comprise the Statement of Financial Position, Statement of Profit or Loss and Statement (including Other Comprehensive Income), the Statement of Changes in Equity , the Statement of Cash Flows and the Notes to the Accounts.

2.1 Statement of Compliance

The Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards (NFRS) as published by the Accounting Standards Board (ASB) Nepal and pronounced by The Institute of Chartered Accountants of Nepal (ICAN) and other accepted accounting principles.

These policies have been consistently applied to all the years presented except otherwise stated.

2.2 Functional and Presentation Currency

The financial statements are presented in Nepalese Rupees (NPR) which is the Company's functional currency.

2.3 Use of Estimates, Assumptions and Judgements

The Company, under NFRS, has applied accounting policies which appropriately suit its circumstances and operating environment. Further, the Company has made judgments in respect of items where the choice of specific policy, accounting estimate or assumption to be followed could materially affect the financial statements. This may later be determined that a different choice could have been more appropriate.

The accounting policies have been included in the relevant notes for each item of the financial statements and the effect and nature of the changes, if any, have been disclosed.

The Company has made estimates and assumptions that will affect the assets, liabilities, disclosure of contingent assets and liabilities, and profit or loss as reported in the financial statements. The Company applies estimates in preparing & presenting the financial statements and such estimates and underlying assumptions are reviewed periodically. The revision to accounting estimates are recognized in the period in which the estimates are revised and are applied prospectively.

Disclosures of the accounting estimates have been included in the relevant sections of the notes wherever the estimates have been applied along with the nature and effect of changes of accounting estimates, if any.

2.4 Going Concern

The financial statements are prepared on a going concern basis, as the Board of the Company is satisfied that the Company has the resources to continue in business for the foreseeable future. In making this assessment, the Board of Directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

2.5 Changes in Accounting Policies

The accounting policies adopted in the preparation of the financial statements are consistent with those followed in the previous year.

2.6 Reporting Pronouncements

The Company has, for the preparation of financial statements, adopted the NFRS pronounced by ASB as effective on September 13, 2013. The NFRS conform, in all material respect, to International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB).

2.7 New Standards in Issue But Not Yet Effective

For the reporting of financial instruments, NAS 32 Financial Instruments, Presentation, NAS 39 Financial Instruments Recognition and Measurements and NFRS 7 Financial Instruments - Disclosures have been applied. NFRS 1 has been complied for the classification of Financial Instruments. A number of new standards and amendments to the existing standards and interpretations have been issued by ASB after the pronouncements of NFRS with varying effective dates. Those become applicable when ASB Nepal incorporates them within NFRS.

2.8 Limitation of NFRS Implementation

Wherever the information is not adequately available, and/or it is impracticable to develop, such exception to NFRS implementation has been noted and disclosed in respective sections.

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

3 Significant Accounting Policies

3.1 Basis of Measurement

The financial statements have been prepared on historical cost basis except for the following material items in the statement of financial position:

- Financial assets other than measured at amortized cost are measured at fair value.
- Inventories are measured at cost or net realizable value whichever is lower

3.2 Presentation - Current versus Non-Current Classification

The Company presents assets and liabilities in statement of financial position based on current/non-current classification. Based on the nature of products and the time between acquisition of assets for processing and their realization in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current/non-current classification of assets and liabilities.

The Company classifies an asset as current when it is:

- Expected to be realized or intended to sold or consumed in normal operating cycle,
- Held primarily for the purpose of trading,
- Expected to be realized within twelve months after the reporting period, or

All other assets are classified as non-current.

The Company classifies a liability as current when:

- It is expected to be settled in normal operating cycle,
- It is held primarily for the purpose of trading ,
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

3.3 Critical Accounting Estimates

The preparation of the financial statements in conformity with Nepal Financial Reporting Standards requires the use of certain critical accounting estimates and judgments. The management has exercised judgments in the process of applying the Company's accounting policies. The Company makes certain estimates and assumptions regarding the future events. Estimates and judgments are continuously evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. In the future, actual result may differ from these estimates and assumptions. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year primarily includes:

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

a) Recognition of Deferred Tax Assets

Deferred tax assets are recognised for taxable temporary difference to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

b) Provision for Depreciation and Amortisation

Depreciation and amortisation is calculated over the estimated useful lives of the assets. An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

3.4 Capital Management

For the purpose of the Company's capital management, capital includes issued capital and all other equity reserves attributable to the equity holders of the company. The primary objective of the company's capital management is to maximize the shareholder value. The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders or issue new shares.

3.5 Impairment of Non- Financial Assets (Excluding Inventories and Deferred Tax Assets)

Non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Where the carrying value of an asset exceeds its recoverable amount (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or Cash generating units exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

An assessment is also done for whether there is any indication that an impairment loss recognized for an asset in prior accounting periods may no longer exist or may have been decreased. If any such indication exists the asset's recoverable amount is estimated. The carrying amount of the fixed asset is increased to the revised estimate of its recoverable amount such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset in prior years.

Impairment loss or reversal shall be included in profit or loss if any. The company has no impairment loss/ gain during the relevant reporting periods.

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

3.6 Foreign Currency Transactions

Transactions entered into by the Company in a currency other than Nepali Rupees (the currency of primary economic environment in which it operates) are recorded at the rates ruling when the transactions occur. Exchange differences arising on foreign currency transactions settled during the year are recognized in the Statement of Profit or Loss. Unsettled foreign currency monetary assets & liabilities are translated at the rates ruling at the reporting date. Exchange differences arising on the retranslation of unsettled monetary assets and liabilities are recognized immediately in profit or loss statement.

3.7 Lease

The Company as a Lessee:

The Company enters into an arrangement for lease of buildings and office equipment. Such arrangements are generally for a fixed period but may have extension or termination options. In accordance with NFRS 16 – Leases, at inception of the contract, the Company assesses whether a contract is, or contains a lease. A lease is defined as ‘a contract, or part of a contract, that conveys the right to control the use an asset (the underlying asset) for a period of time in exchange for consideration.

To Assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and

The Company assesses whether it has the right to direct ‘how and for what purpose’ the asset is used throughout the period of use. At inception or on reassessment of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of land and buildings in which it is a lessee, the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

Measurement and recognition of leases as a Lessee

The Company recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses (unless such right of use assets fulfills the requirements of NAS 40 - Investment Property and is accounted for as there under), if any and adjusted for any re-measurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the Statement of profit and loss.

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, or if the Company changes its assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in Statement of profit and loss if the carrying amount of the right-of-use asset has been reduced to zero, as the case may be.

The Company presents right-of-use assets that do not meet the definition of investment property on the face of balance sheet below 'property, plant and equipment' and lease liabilities under 'financial liabilities' in the balance sheet.

The Company has elected not to apply the requirements of NFRS 16-Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognized as an expense on a straight-line basis over the lease term, unless the payments are structured to increase in line with the expected general inflation to compensate the lessor's expected inflationary cost increases.

The Company as a Lessor

When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease. To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other income'.

The Company recognizes lease payments received under operating leases as income on a straight-line basis over the lease term unless the payments are structured to increase in line with the expected general inflation to compensate the lessor's expected inflationary cost increases. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease.

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

3.8 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the Government.

The Company recognizes revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and specific criteria have been met for each of the company's activities as described below. The company bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specific of each arrangement.

Revenue is measured at the fair value of the consideration received or receivable net of trade discounts. Revenue include all revenue from ordinary activities of the company that are recorded excluding Value Added Taxes collected from customers that are remitted or are to be remitted to the government authorities.

(a) Sale of Goods

Revenue from sale of goods is recognized when the significant risks and rewards are transferred to the buyer by virtue of dispatch of such goods to the buyer after issuance of sales invoice.

(b) Other Operating Revenues

Export Incentives are recognised on accrual basis when no significant uncertainties as to the amount of consideration that would be derived and to its ultimate collection exist.

(c) Other Income

- Rental Income from Operating lease is recognised on straight-line basis over the tenure of the lease agreement, except for contingent rental income which is recognised when it arises and where scheduled increase in rent compensates the lessor for expected inflationary costs.
- Insurance claims are accounted for on acceptance or to the extent amount have been received.
- Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate.
- Income from write-back of payables is recognized under "Miscellaneous Income" when the obligation is extinguished and no longer required to be settled.

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3.9 Property, Plant & Equipment:

A) Recognition and Measurement

The cost of an item of property and equipment shall be recognized as an asset, initially recognized at cost, if, and only if:

- it is probable that future economic benefits associated with the item will flow to the entity; and
- the cost of the item can be measured reliably.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- the cost of materials and direct labor;
- any other costs directly attributable to bringing the assets to a working condition for their intended use;
- when the Company has an obligation to remove the asset or restore the site, an estimate of the costs of dismantling and removing the items and restoring the site on which they are located; and
- Capitalized borrowing costs.

The Company has adopted revaluation model for Land and Building and cost model for remaining class of property and equipment. Land and Building are measured at restated revalued figure at the date of transition. An annual transfer from the asset revaluation surplus to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation surplus relating to the particular asset being sold is transferred to retained earnings. The remaining items of property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

Subsequent expenditure is capitalized if it is probable that the future economic benefits from the expenditure will flow to the Company. Ongoing repairs and maintenance to keep the assets in working condition are expensed as incurred. Any gain or loss on disposal of an item of property and equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized within other income in profit or loss.

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B) Depreciation

Depreciation on assets under construction does not commence until they are complete and available for use. Depreciation is provided on all other items of property, plant and equipment so as to write-off their depreciable amount over the expected useful economic lives.

Depreciation is provided on a pro-rata basis on the straight-line method based on the estimated useful life of the assets determined by management as per application guidance to NAS 16 issued by Accounting Standard Board.

The estimated useful lives of various class of PPE for the current year and comparative years are as follows:

Class of PPE	Useful Life
Factory Building	30 Years
Building Other than Factory Building (RCC frame)	60 Years
Building Other than Factory Building (Other than RCC frame)	30 Years
Road Inside Factory	3-10 Years
Furniture and Fixtures	10 Years
Computer and IT Equipments	3-6 Years
Office Equipment	5-10 Years
Vehicles - 4 Wheelers	8 Years
Vehicles - 2 Wheelers	10 Years
Plant and Machinery	15-25 Years
Server	6 Years

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate

C) De-Recognition

An item of property plant and equipment is de-recognised on disposal or when no future economic benefits are expected from the use of that asset. The gain or loss arising from the disposal of an item of property plant and equipments is the difference between net disposal proceeds if any, and the carrying amount of that item and is recognised in the statement of Profit and Loss.

D) Capital Work in Progress

Capital work-in-progress represents expenditure incurred in respect of capital projects not ready for use and are carried at cost. Cost comprises of purchase cost, related acquisition expenses, development/construction costs, borrowing costs and other direct expenditures.

3.10 Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost of acquisition. The cost comprises of purchase price and directly attributable costs of bringing the assets to its working condition for intended use.

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

The Company's intangible assets comprises assets with finite useful life which are amortised on a straight-line basis over the period of their expected useful life.

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

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The estimated useful lives of Intangible assets for the current year and comparative years are as follows:

Particulars	Useful Life
Computer Software	5 years

3.11 Investment property

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Company, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognised.

3.12 Financial Instruments : Financial Assets

Financial Asset is any asset that is:

- a) Cash
- b) an equity instrument of another entity
- c) a contractual right:
 - i) to receive cash or other financial asset from another entity, or
 - ii) to exchange financial assets or financial liabilities with another equity under conditions that are potentially favourable to the entity
- d) a contract that will or may be settled in the entity's own equity instruments and is:
 - i) a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments, or
 - ii) a derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

A) Recognition

All financial assets are initially recognized on the date on which the company becomes a party to the contractual provisions of the instrument. The classification of financial instruments at the initial recognition depends on their purpose and characteristics and the management's intention in acquiring them.

B) Classification

The financial assets are measured at amortized cost or fair value on the basis of the Company's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

The two classes of financial assets are as follows:

i) Financial Assets Measured at Amortized Cost

Financial asset are measured at amortized cost if both of the following conditions are met:

- The asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

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ii) Financial Asset Measured at Fair Value

Financial assets other than those measured at amortized cost are measured at fair value. Financial assets measured at fair value are further classified into two categories as below:

a) Financial Assets at Fair Value Through Profit or Loss (FVTPL)

Financial assets are classified as fair value through profit or loss (FVTPL) if they are held for trading or are designated at fair value through profit or loss. Upon initial recognition, transaction cost is directly attributable to the acquisition are recognized in profit or loss as incurred. Such assets are subsequently measured at fair value and changes in fair value are recognized in Statement of Profit or Loss.

b) Financial Assets at Fair Value Through Other Comprehensive Income (FVTOCI)

Investment in an equity instrument that is not held for trading and at the initial recognition, the Company makes an irrevocable election that the subsequent changes in fair value of the instrument is to be recognized in other comprehensive income are classified as financial assets at fair value through other comprehensive income. Such assets are subsequently measured at fair value and changes in fair value are recognized in other comprehensive income.

C) Measurement

i) Initial Measurement

A financial asset or financial liability is measured initially at fair value plus or minus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue. Transaction cost in relation to financial assets and liabilities at fair value through profit or loss are recognized in Statement of Profit or Loss.

ii) Subsequent Measurement

A financial asset or financial liability is subsequently measured either at fair value or at amortized cost based on the classification of the financial asset or liability. Financial asset or liability classified as measured at amortized cost is subsequently measured at amortized cost using effective interest rate method.

The amortized cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction for impairment or uncollectibility.

Financial assets classified at fair value are subsequently measured at fair value. The subsequent changes in fair value of financial assets at fair value through profit or loss are recognized in Statement of Profit or Loss whereas of financial assets at fair value through other comprehensive income are recognized in other comprehensive income.

D) Derecognition

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset.

Any interest in such transferred financial assets that qualify for derecognition that is created or retained by the Company is recognized as a separate asset or liability. On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of

- (i) the consideration received (including any new asset obtained less any new liability assumed) and
- (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

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In transactions in which the Company neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the Company continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

E) Determination of Fair Value

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date. The fair value of a liability reflects its non-performance risk.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. If a market for a financial instrument is not active, the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price - i.e. the fair value of the consideration given or received. However, in some cases, the fair value of a financial instrument on initial recognition may be different to its transaction price. If such fair value is evidenced by comparison with other observable current market transactions in the same instrument (without modification) or based on a valuation technique whose variables include only data from observable markets, then the difference is recognized in profit or loss on initial recognition of the instrument. In other cases, the difference is not recognized in profit or loss immediately but is recognized over the life of the instrument on an appropriate basis or when the instrument is redeemed, transferred or sold, or the fair value becomes observable.

All unquoted equity investments are recorded at cost, considering the non trading of promoter shares up to the date of balance sheet, the market price of such shares could not be ascertained with certainty. Hence, these investments are recognized at cost net of impairment, if any.

F) Impairment

At each reporting date, the Company assesses the impairment of financial assets using the Expected Credit Loss (ECL) model as required under NFRS 9. The Company recognizes expected credit losses for all financial assets measured at amortized cost and debt instruments at fair value through other comprehensive income (FVOCI).

Impairment Assessment: The Company assesses financial assets for impairment at both the individual and collective level, taking into account both 12-month ECL for assets with no significant increase in credit risk and Lifetime ECL for assets with a significant increase in credit risk.

Provision Matrix: For trade receivables and other financial assets, the Company uses a provision matrix to estimate lifetime ECL based on historical loss experience and forward-looking economic conditions.

Modelling and Adjustments: In assessing credit losses, the Company uses statistical models that incorporate probability of default (PD), loss given default (LGD), and exposure at default (EAD). The Company also adjusts these estimates for management's judgment, incorporating current and forecasted economic conditions.

Regular Review: Default rates, loss rates, and other assumptions are reviewed regularly and benchmarked against actual outcomes to ensure that the ECL estimates remain accurate and appropriate.

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3.13 Income Taxes

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

Current Tax

Current tax is the expected tax payable or recoverable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred Income Tax

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected realization or settlement of the carrying amount of assets and liabilities using tax rates (i.e 12.60%) at the balance sheet date. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting period.

3.14 Inventories

Inventories are carried at the lower of cost or Net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business less the estimated cost of completion and the necessary estimated expenses. The cost of obsolescence and other anticipated losses are also considered for determining the net realizable values.

Cost of finished goods includes the cost of raw materials, direct labor and appropriate proportion of fixed and variable production overheads incurred in bringing the inventory to their present location and condition. Inventories of Raw material are carried at Cost.

In determining the cost of raw materials First In First Out (FIFO) method is used. Cost of inventory comprises of all costs of purchase, duties, taxes (other than those subsequently recoverable from tax authorities), cost of conversion and other costs incurred in bringing the inventories to their present location and condition.

Work in Progress are carried at the Weighted average cost.

In determining the cost of consumables, stores and spares First In First Out (FIFO) method is used.

In determining the cost of Usable Wastages, Weighted Average Cost of Raw Material is used.

Saleable wastages are carried at the Net realizable value.

3.15 Borrowing Cost

Borrowing cost that are directly attributable to the acquisition, construction, or production of a qualifying asset are capitalized as a part of the cost of such asset till such time the asset is ready for its intended use or sale.

Borrowing cost consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing costs also includes exchange differences to the extent regarded as an adjustment to the borrowing costs. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale. All other borrowing cost are recognized as expense in the period in which they are incurred.

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3.16 Cash and Cash Equivalents

Cash and cash equivalents are defined as cash on hand, demand deposits and short term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statements, cash and cash equivalents consist of cash in hand and balance in bank accounts.

3.17 Non-current Assets Held for Sale

Non-current assets or disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Such assets or disposal groups are classified only when both the conditions are satisfied –

- a. The sale is highly probable, and
- b. The asset or disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such assets.

Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification as held for sale, and actions required to complete the plan of sale should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. Non-current assets or disposal group are presented separately from the other assets in the balance sheet. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the balance sheet.

Upon classification, non-current assets or disposal group held for sale are measured at the lower of carrying amount and fair value less costs to sell. Non-current assets which are subject to depreciation are not depreciated or amortized once those classified as held for sale.

3.18 Employee Benefits

Employee benefits include salaries, wages, contribution to SSF, compensated absences and other terminal benefits.

a. Short-term Employee Benefits

Wages and salaries, including non-monetary benefits that are expected to be settled within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the Statement of Financial Position.

b. Post-employment Benefits

Defined Contribution Plan

The Company has Social Security Fund as defined contribution plan. The obligation of the Company is limited to the amount contributed and it has no further contractual nor any constructive obligation. Therefore, contributions paid and payable under the scheme are recognised in the period when the employee renders the related service.

As per Section 53 of Labor Act, 2074, with effect from Bhadra 19, 2074 (September 04, 2017), Gratuity shall be treated as defined contribution plan to be calculated at 8.33% of Basic Salary and therefore Actuarial Valuation is not required.

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C. Long-term Employment Benefits

Leave Encashment has been computed using Actuarial Assumptions and these are measured at the present value of expected future payments to be made in respect of services provided by employees up to the end of the year using the Projected Unit Credit Method. The benefits are discounted using the market yields at the end of the year that have terms approximating to the terms of assumptions.

Key Assumptions:

The following actuarial assumptions were used in measuring the leave encashment liability:

A. Discount rate: 9% (based on market yields on government bonds).

B. Salary growth rate: 5% (based on historical salary increment trends and expected future salary increases).

During the year, an actuarial gain is recognized in the Profit and Loss Statement due to changes in the actuarial assumptions, primarily related to discount rate or salary escalation.

3.19 Financial Instruments : Financial Liabilities

Financial Liability is any liability that is:

- a) a contractual obligation:
 - i) to deliver cash or other financial asset to another entity, or
 - ii) to exchange financial assets or financial liabilities with another equity under conditions that are potentially unfavourable to the entity.
- b) a contract that will or may be settled in the entity's own equity instruments and is:
 - i) a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments, or
 - ii) a derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

Recognition

All financial liabilities are initially recognized on the date on which the company becomes a party to the contractual provisions of the instrument. The classification of financial instruments at the initial recognition depends on their purpose and characteristics and the management's intention in acquiring them.

Classification

The Company classifies its financial liabilities, other than financial guarantees and loan commitments, as follows:

i) Financial Liabilities at Fair Value through Profit or Loss (FVTPL)

Financial liabilities are classified as fair value through profit or loss if they are held for trading or are designated at fair value through profit or loss. Upon initial recognition, transaction costs are directly attributable to the acquisition are recognized in Statement of Profit or Loss as incurred. Subsequent changes in fair value is recognized at profit or loss.

ii) Financial Liabilities measured at amortized cost

All financial liabilities other than measured at fair value through profit or loss are classified as subsequently measured at amortized cost using effective interest rate method.

Measurement

i) Initial Measurement

A financial asset or financial liability is measured initially at fair value plus or minus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue. Transaction cost in relation to financial assets and liabilities at fair value through profit or loss are recognized in Statement of Profit or Loss.

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ii) Subsequent Measurement

A financial asset or financial liability is subsequently measured either at fair value or at amortized cost based on the classification of the financial asset or liability. Financial asset or liability classified as measured at amortized cost is subsequently measured at amortized cost using effective interest rate method.

The amortized cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction for impairment or uncollectibility.

3.20 Provisions

Provisions are recognized when the company has a present obligation, legal or constructive, as a result of a past event, it is probable that a transfer of a economic benefits will be required to settle the obligation and when reliable estimate can be made of the amount of obligation. If these conditions are not met, no provision is recognized.

The amount of provision recognized is the management's best estimate of expenditure required to settle the present obligation at the reporting date.

Management reviews provisions at each reporting date and is adjusted to reflect the best estimate. If it is no longer probable that a transfer of economic benefits will be required to settle the obligation, the provision is reversed.

3.21 Contingent Liabilities

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made.

The Company records a liability for any claims where a potential loss is probable and capable of being estimated and discloses such matters in its financial statements, if material. For potential losses that are considered possible, but not probable, the Company provides disclosure in the financial statements but does not record a liability in its accounts unless the loss becomes probable.

3.22 Earnings Per Share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

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4 Property, Plant & Equipments (PPE)

Amount in NPR

The changes in the carrying value of Property, Plant & Equipments (PPE) for the year ended Ashad 32, 2082, Ashad 31, 2081 and Ashad 31, 2080 are as follows:

Particulars	Land & Land Development	Buildings	Plant & Machinery	Office & Electrical Equipment	Furniture & Fixtures	Vehicles	Computers	Total
Balance as at Ashad end 2080	2,870,699,918.00	3,021,289,480.19	4,705,598,310.87	6,472,864.27	18,231,197.91	31,464,998.07	5,822,092.38	10,659,578,861.69
Addition during the Year								-
Acquisition	1,624,838.00	6,715,672.75	345,096,264.01	153,092.91	1,982,220.75	-	639,389.41	356,211,477.83
Capitalization								-
Disposal during the year						(1,843,332.44)		(1,843,332.44)
Balance as at Ashad end 2081	2,872,324,756.00	3,028,005,152.94	5,050,694,574.88	6,625,957.18	20,213,418.66	29,621,665.63	6,461,481.79	11,013,947,007.08
Addition during the Year								-
Acquisition	-	-	747,504,299.16	185,459.05	656,907.91	-	1,444,233.41	749,790,899.53
Capitalization								-
Disposal during the year			(7,436,804.17)			-		(7,436,804.17)
Balance as at Ashad end 2082	2,872,324,756.00	3,028,005,152.94	5,790,762,069.87	6,811,416.23	20,870,326.57	29,621,665.63	7,905,715.20	11,756,301,102.44
As at Ashad end 2080	-	329,164,354.40	491,675,629.23	3,780,435.88	5,928,878.90	11,531,654.40	3,911,920.24	1,199,932,848.05
Depreciation charge for the Year		116,317,634.78	318,306,090.45	1,243,150.86	1,947,168.38	3,491,835.00	916,228.95	442,222,108.42
Impairment for the year								
Disposals						(875,584.00)		(875,584.00)
As at Ashad end 2081	-	445,481,989.18	809,981,719.68	5,023,586.74	7,876,047.28	14,147,905.40	4,828,149.19	1,641,279,372.47
Depreciation charge for the Year		116,389,536.00	358,325,524.53	790,425.24	2,055,157.12	3,491,835.00	1,086,034.73	482,138,512.62
Impairment for the year								
Disposals			(5,949,443.00)			-		(5,949,443.00)
As at Ashad end 2082	-	561,871,525.18	1,162,357,801.21	5,814,011.98	9,931,204.40	17,639,740.40	5,914,183.92	2,117,468,442.09
Net Carrying Amount:								
As at Ashad end 2080	2,870,699,918.00	2,692,125,125.79	4,213,922,681.64	2,692,428.39	12,302,319.01	19,933,343.67	1,910,172.14	9,459,646,013.64
As at Ashad end 2081	2,872,324,756.00	2,582,523,163.76	4,240,712,855.20	1,602,370.44	12,337,371.38	15,473,760.23	1,633,332.60	9,372,667,634.61
As at Ashad end 2082	2,872,324,756.00	2,466,133,627.76	4,628,404,268.66	997,404.25	10,939,122.17	11,981,925.23	1,991,531.28	9,638,832,660.35

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Property, Plant & Equipment have been mortgaged/hypothecated against Bank Borrowings.

All categories of Property, Plant and Equipment are initially recorded at cost. Property, Plant and Equipment except Land & Building are subsequently measured at historical cost less depreciation and impairment losses. Historical cost includes expenditure . Subsequent cost are included in the assets carrying amount or recognised as separate asset, as appropriate, only when it is probable that future economic benefits are associated with the item will flow to the company and the cost of the item can be measured reliably. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

The rates have been applied consistently over the years. The assets residual values and useful lives are reviewed and adjusted if appropriate, at each reporting period. An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and Losses on disposal of property and equipment are determined by reference to their carrying amount and are included in profit or loss.

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4.1 Capital work-in-progress

The changes in the carrying value of capital work-in-progress for the year ended Ashad 32, 2082 and Ashad 31, 2081 are as follows:

Amount in NPR

Particulars	Buildings	Plant & Machinery	Total
Addition during the Year	-	111,827,034.03	111,827,034.03
Transfer to property, plant and equipment	-	226,757,868.62	226,757,868.62
Foreign currency translation difference	-	-	-
Balance as at Ashad end 2081	-	111,827,034.03	111,827,034.03
Addition during the Year	-	-	-
Transfer to property, plant and equipment	-	111,827,034.03	111,827,034.03
Foreign currency translation difference	-	-	-
Balance as at Ashad end 2082	-	-	-

4.2 Right-of-use Assets

The changes in the carrying value of Right-of-use (ROU) of Assets for the year ended Ashad 32, 2082, Ashad 31, 2081 and Ashad 31,2080 is as follow:

Amount in NPR

Particulars	Land	Office Space	Total
Gross Value:			
Balance as at Ashad end 2080	7,275,327.59	6,339,743.43	13,615,071.02
Additions/disposals/adjustments during the year	-	17,076,525.01	17,076,525.01
Balance as at Ashad end 2081	7,275,327.59	23,416,268.44	30,691,596.03
Additions/disposals/adjustments during the year	-	(441,194.61)	(441,194.61)
Balance as at Ashad end 2082	7,275,327.59	22,975,073.83	30,250,401.42
Accumulated Depreciation:			
Balance as at Ashad end 2080	2,078,665.02	6,339,743.43	8,418,408.45
Additions/disposals/adjustments during the year	1,039,332.51	4,683,253.69	5,722,586.20
Elimination on Disposal/ Adjustment of Assets	-	6,339,743.43	6,339,743.43
Balance as at Ashad end 2081	3,117,997.53	4,683,253.69	7,801,251.22
Additions/disposals/adjustments during the year	1,039,332.51	4,572,955.04	5,612,287.55
Elimination on Disposal/ Adjustment of Assets	-	-	-
Balance as at Ashad end 2082	4,157,330.04	9,256,208.73	13,413,538.77
Net Carrying Amount:			
As at Ashad end 2080	5,196,662.57	-	5,196,662.57
As at Ashad end 2081	4,157,330.06	18,733,014.75	22,890,344.81
As at Ashad end 2082	3,117,997.55	13,718,865.10	16,836,862.65

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

5 Intangible Assets

The changes in the carrying value of Intangible Assets for the year ended Ashad 32, 2082, Ashad 31, 2081 and Ashad 31, 2080 are as follows:

Amount in NPR

Particulars	Computer Software
Cost:	
As at Ashad end 2080	1,665,000.00
Addition during the Year	
Acquisition	-
Capitalization	-
Disposal During the Year	-
Adjustment/Revaluation	-
As at Ashad end 2081	1,665,000.00
Addition during the Year	
Acquisition	-
Capitalization	-
Disposal During the Year	-
Adjustment/Revaluation	-
As at Ashad end 2082	1,665,000.00
Amortisation and impairment losses	
As on Ashad end 2080	1,485,808.17
Amortization charge for the Year	179,191.83
Impairment for the Year	
Disposals	
Adjustment	
As on Ashad end 2081	1,665,000.00
Amortization charge for the Year	-
Impairment for the Year	
Disposals	
Adjustment	
As at Ashad end 2082	1,665,000.00
<u>Net Carrying Amount:</u>	
As at Ashad end 2080	179,191.83
As at Ashad end 2081	-
As at Ashad end 2082	-

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

6 Other Financial Assets (Non-Current)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Security Deposits	3,045,925.01	3,005,925.01
Total	3,045,925.01	3,005,925.01

7 Inventories

(As taken, valued and certified by the management.)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Raw Materials	697,867,783.60	720,693,535.94
Finished Goods	672,187,272.62	571,309,382.38
Work In Process	300,865,037.63	282,004,930.93
Store, Spares and Consumables	196,275,837.67	358,422,880.57
Waste	58,539,802.37	57,193,968.32
Goods in Transit	278,636,012.00	175,844,410.31
Gross Total	2,204,371,745.89	2,165,469,108.45
Less: Allowance for Obsolescence	-	-
Total Inventories*	2,204,371,745.89	2,165,469,108.45

* Inventories have been hypothecated with the Banks against borrowings (Refer Note No 13 and 18)

8 Trade Receivables

Trade receivables comprises of amount receivable from our customers and are non-interest bearing. Such trade receivables are generally on credit terms of 30 - 90 days.

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Trade Receivable*	1,425,581,181.45	1,160,572,676.72
Less : ECL provision	(2,123,968.73)	(1,933,655.52)
Total	1,423,457,212.72	1,158,639,021.20

* Trade Receivables have been hypothecated with the Banks against borrowings (Refer Note No 13 and 18)

9 Cash and Cash Equivalents

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Cash In Hand (as certified)	878,893.05	1,112,737.98
Balances with Banks	16,676,406.60	38,178,630.13
Total	17,555,299.65	39,291,368.11

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

10 Other Financial Assets

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Letter of Credit	20,322,093.95	25,343,993.77
Fixed Deposit	702,823,680.00	709,723,680.00
Bank Guarantee Margins & Other Margins	9,423,391.14	7,654,554.14
Insurance & Other Claims Receivable	16,673.00	149,759.00
Security Deposits	-	475,001.80
UK Aid-Receivable	-	12,483,293.28
Export Incentive Receivable	614,173,602.45	538,523,727.81
Other Receivable	2,378,915.15	1,763,738.28
Total	1,349,138,355.69	1,296,117,748.08

The fair values of all the above financial assets are approximates to their carrying amounts. These advances are non-interest bearing and are expected to be settled in the normal course of operations.

11 Other Current Assets

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Advance to Labours	220,912.00	225,912.00
Advance to Vendors	10,106,956.75	9,832,523.76
Prepaid Expenses	16,120,493.47	12,258,429.91
Reliance Welfare Loan-Staffs	2,107,643.71	1,752,000.00
Reliance Welfare Loan-Workers	6,656,365.03	5,990,105.53
Advance to Staff	830,963.89	38,405.15
Sundry Advances	43,889,375.60	47,839,886.12
VAT Input	170,786,986.99	448,801,257.23
Total	250,719,697.44	526,738,519.70

12 Current Tax Assets / Liabilities (Net)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Opening Balance	8,658,217.44	12,797,314.85
Less: Previous Year Taxation	-	795,750.83
Balance	8,658,217.44	12,001,564.02
Add: Taxes paid including TDS (Net of adjustments)	13,585,951.99	4,251,262.49
Advance tax for the Year	22,244,169.43	16,252,826.51
Less: Current tax payable for the year	10,671,178.79	7,594,609.07
Current Tax Assets / (Liabilities)	11,572,990.64	8,658,217.44

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

13 Borrowings (Non Current)

Non Current Borrowings are interest bearing financial liabilities consisting of Bank Borrowings. For these financial liabilities interest charged by the bank approximates effective interest rate and such rate is considered for calculation of amortized cost of liability and the finance cost. The effect of initial charges and its impact on effective rate is considered immaterial and the carrying value is considered approximate amortized cost.

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Secured Loans from Banks*		
- Term Loan	3,450,771,791.99	3,463,733,073.54
Less: Current maturities (Refer Note No 18)	505,296,000.00	378,584,000.00
Total	2,945,475,791.99	3,085,149,073.54

***Secured Loans:**

Term Loan Facility has been disbursed by Consortium of Banks lead by Rastriya Banijya Bank Ltd. Such Loans are secured by a way of pari-passu first charge over the fixed assets, both present and future and pari-passu second charge over the Current Assets of the company, both present and future. Further, personal guarantee has been given by the promoters/directors viz. Mr. Pawan Golyan, Mr. Shashi Kant Agrawal and Mr. Akshay Golyan.

14 Non-Current Lease Liabilities

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Lease Liability	20,818,288.40	26,309,723.26
Less: Current portion (Refer Note no. 20)	8,229,257.76	5,006,120.80
Total	12,589,030.64	21,303,602.46

15 Other Non-Current Financial Liabilities

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Security Deposits	2,341,566.85	2,087,443.21
Total	2,341,566.85	2,087,443.21

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

16 Deferred Tax Liabilities (Net)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Deferred Tax Asset	16,296,908.00	39,327,379.00
Deferred Tax Liability	242,759,489.00	158,169,879.00
Net Deferred Tax Asset / (Liability) at the end of the year	(226,462,581.00)	(118,842,500.00)
Net Changes	(107,620,081.00)	(41,298,178.00)
Deferred Tax charged in OCI	(339,017.00)	-
Deferred Tax charged in Statement of Profit or Loss	(107,281,064.00)	(41,298,178.00)
Deferred Tax charged Directly in Equity due to change in estimate of the life of asset	-	-
Deferred tax Assets:		
Recognized in profit or loss	16,296,908.00	39,327,379.00
Recognized in OCI	-	-
Recognized in Equity	-	-
Deferred tax Assets	16,296,908.00	39,327,379.00
Deferred tax liability:		
Recognized through profit or loss	242,420,472.00	158,169,879.00
Recognized through OCI	339,017.00	-
Deferred tax liability	242,759,489.00	158,169,879.00

16.1 Deferred Income Tax Assets and Liabilities, Deferred tax charge/ (credit) in the profit or loss and OCI"

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Foreign Exchange Difference	2,599,383.00	1,614,373.00
Tax Loss Carried Forward	3,105,499.00	27,701,982.00
Corporate Social Responsibility	5,312,113.00	4,552,989.00
Provision for Leave Encashment	2,317,792.00	2,143,010.00
Lease Liability	2,623,104.00	3,315,025.00
Property Plant and Equipments	(240,299,027.00)	(155,285,696.00)
Right-of-use Assets	(2,121,445.00)	(2,884,183.00)
Net Deferred Tax Asset / (Liability) at the end of the year	(226,462,581.00)	(118,842,500.00)

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

17 Provisions (Non Current)*

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Provision for Leave Encashment	15,089,128.00	14,850,910.00
Total	15,089,128.00	14,850,910.00

*Refer Note no 36

18 Borrowings (Current)

Current Borrowings are interest bearing financial liabilities consisting of Bank Borrowings. For these financial liabilities interest charged by the bank approximates effective interest rate and such rate is considered for calculation of amortized cost of liability and the finance cost. The effect of initial charges and its impact on effective rate is considered immaterial and the carrying value is considered approximate amortized cost.

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Secured Loans from Banks		
Bank Overdraft	1,774,145.00	53,948,188.25
Short Term Loan	976,901,000.00	1,592,908,017.71
TR Loan	69,833,521.85	-
Current maturities of Non-Current Borrowings (Refer Note No 13)	505,296,000.00	378,584,000.00
Total	1,553,804,666.85	2,025,440,205.96

Short Term Loans, TR Loans including Foreign Currency Loan and Bank Overdraft has been disbursed by the Consortium of Banks led by Rastriya Banijya Bank Ltd. for meeting the working capital requirements of the company. Such Loans are secured by a way of pari-passu first charge over the Current Assets, both present and future and pari-passu second charge over fixed assets of the company, both present and future. Further, personal guarantee has been given by the promoters/directors viz. Mr. Pawan Golyan, Mr. Shashi Kant Agrawal and Mr. Akshay Golyan.

19 Trade Payables

Trade payables are amount payable to creditors for goods and services and are non interest bearing. These trade payables are normally settled on credit period of 30 to 90 days.

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Trade Payables	255,389,855.85	193,710,084.24
Total	255,389,855.85	193,710,084.24

20 Lease Liabilities (Current)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Current Portion of Lease Liabilities (Refer no. 14)	8,229,257.76	5,006,120.80
Total	8,229,257.76	5,006,120.80

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

21 Other Financial Liabilities (Current)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
LC payable	1,356,917,184.61	1,242,710,200.16
Other Payables	41,417,913.38	53,888,537.53
Reliance Welfare Fund	7,479,468.38	8,033,882.01
Security Deposit Payable	-	21,408,526.87
Expenses Payable	8,476,122.05	6,839,317.91
Interest Payable	244,063.54	686,839.65
Labour Security Payable	5,581,701.00	5,367,201.00
Salary Payable	18,342,918.09	17,222,087.68
Wages Payable	87,262,747.41	61,561,960.16
Advance for Share Capital (QII)*	702,823,680.00	702,823,680.00
Total	2,228,545,798.46	2,120,542,232.97

*Refer Note 24.4

22 Other Current Liabilities

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Statutory Dues:		
- Citizen Investment Fund	1,110,630.00	957,075.00
- TDS	6,216,738.36	4,784,995.71
- VAT Payable	6,957,193.92	2,691,866.89
Advance from Customers	13,714,434.57	8,502,305.16
Total	27,998,996.85	16,936,242.76

23 Provisions (Current)

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Provision for CSR	42,159,625.73	36,134,829.42
Provision for Bonus	60,247,963.12	10,108,316.26
Provision for Leave Encashment	5,996,660.00	2,157,108.00
Closing Balance	108,404,248.85	48,400,253.68

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
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23.1 Provisions

Provisions are recognized when the company has a present obligation, legal or constructive, as a result of a past event, it is probable that a transfer of a economic benefits will be required to settle the obligation and when reliable estimate can be made of the amount of obligation. If these conditions are not met, no provision is recognized.

The amount of provision recognized is the management's best estimate of expenditure required to settle the present obligation at the reporting date.

Management reviews provisions at each reporting date and is adjusted to reflect the best estimate. If it is no longer probable that a transfer of economic benefits will be required to settle the obligation, the provision is reversed.

23.2 Non- Current Provisions

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
I. Provision for Employee Benefits		
Provision for Leave Encashment		
Opening Balance	14,850,910.00	19,732,572.00
Additions during the year	8,325,893.00	(3,891,244.12)
Payments/ Adjustments made during the year	8,087,675.00	990,417.88
Closing Balance	15,089,128.00	14,850,910.00

23.3 Provisions - Current

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Provision for Leave Encashment		
Opening Balance	2,157,108.00	3,000,000.00
Additions during the year	-	-
Payments/ Adjustments made during the year	(3,839,552.00)	842,892.00
Closing Balance	5,996,660.00	2,157,108.00
Provision for Bonus		
Opening Balance	10,108,316.27	100,135,040.37
Addition	60,247,963.12	10,108,316.27
Payments/ Adjustments made during the year	10,108,316.27	100,135,040.37
Closing Balance	60,247,963.12	10,108,316.27
II. Provision for Corporate Social Responsibility		
Opening Balance	36,134,829.41	35,623,997.79
Addition	6,024,796.31	1,010,831.62
Payment	-	500,000.00
Closing Balance	42,159,625.72	36,134,829.41
Total	108,404,248.84	48,400,253.68

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
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24 Share Capital

The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instruments. Equity is defined as residual interest in total assets of the Company after deducting all its liabilities.

Accordingly the share capital of the company comprises following:

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Authorised Capital		
26,000,000 Shares of Rs. 100/- each	2,600,000,000	2,600,000,000
	2,600,000,000	2,600,000,000
Issued Capital		
19,000,000 Shares of Rs.100/- each	1,900,000,000	1,900,000,000
	1,900,000,000	1,900,000,000
Subscribed and fully Paid-up		
17,073,400 Ordinary Shares of Rs.100/- each	1,707,340,000	1,707,340,000
Total	1,707,340,000	1,707,340,000

24.1 Reconciliation of the number of ordinary shares outstanding at the beginning and period of the year:

Particulars	As at Ashad 32, 2082		As at Ashad 31, 2081	
	No of Shares	Amount	No of Shares	Amount
Balance as at the beginning of the year	17,073,400	1,707,340,000	17,073,400	1,707,340,000
Add: Shares issued during the year	-	-	-	-
Balance as at the period of the year	17,073,400	1,707,340,000	17,073,400	1,707,340,000

24.2 Rights, preferences and Restrictions Attached to Shares Equity Shares

The Company has only one class of equity shares having a par value of Rs. 100/- per share. Each shareholder is eligible for one vote per share held. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

24.3 Shareholding Pattern of the Company

Particulars	As at Ashad 32, 2082		As at Ashad 31, 2081	
	No. of Shares	Amount	No. of Shares	Amount
Mr. Shashi Kant Agrawal	8,536,100	853,610,000	8,536,100	853,610,000
Mr. Pawan Kumar Golyan	4,171,114	417,111,400	4,171,114	417,111,400
Mr. Akshay Golyan	4,365,386	436,538,600	4,365,386	436,538,600
Others	800	80,000	800	80,000
Balance as at the Period of the Year	17,073,400	1,707,340,000	17,073,400	1,707,340,000

Reliance Spinning Mills Ltd.
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24.4 The Company has approved the issuance of 1,926,600 equity shares through an Initial Public Offering (IPO) using the Book Building Method. A portion of this IPO, totaling 40%, or 770,640 equity shares, has already been issued to Qualified Institutional Investors (QII) at NPR 912 per share. This amount is reflected in "Other Financial Liability (Current)" due to its contingent nature, as the public issue process is still pending.

The Company filed its Prospectus with the Securities Board of Nepal (SEBON), and SEBON approved the prospectus on 2081/03/12. However, the IPO process was temporarily halted. Further information has been provided in Note 42 of these financial statements.

25 Other Equity

25.1 Retained Earnings

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Balance up to Last Year	2,284,940,453.30	2,538,330,179.14
Profits for the Year	475,811,979.12	50,383,793.16
Other Comprehensive Income for the Year	2,351,596.00	-
Revaluation Reserve	37,694,481.00	37,694,481.00
Fixed Assets NFRS Adjustment - Charged off to Reserve		
Changes in accounting policy (on account of adoption of NFRS 16, leases)	-	-
Deferred Tax adjustment directly in Equity due to change in estimate of the life of asset	-	-
Total Comprehensive Income	2,800,798,509.42	2,626,408,453.30
Less:		
Earlier Years' Tax	-	-
Earlier Years' Gratuity	-	-
Dividend Distribution	-	(341,468,000.00)
Sub-Total (A)	2,800,798,509.42	2,284,940,453.30

25.2 Revaluation Reserves

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
<u>Revaluation of Land & Buildings:</u>		
Balance up to Last Year	3,060,755,798.52	3,098,450,279.52
NFRS Adjustments-Additions	-	-
Increase/(Decrease) during the year	(37,694,481.00)	(37,694,481.00)
Sub-Total (B)	3,023,061,317.52	3,060,755,798.52
Grand Total (A+B)	5,823,859,826.94	5,345,696,251.82

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
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26 Revenue from Operations

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Sales of Goods		
- Export Sales	7,701,944,963.22	6,744,866,433.62
- Local Sales	1,896,180,484.64	1,876,935,349.95
Other Operating Income		
- Export Incentives*	614,173,602.45	542,578,625.31
- Sale of Scraps & Wastages	25,549,851.50	41,620,422.18
Total	10,237,848,901.81	9,206,000,831.06

*Refer Note no. 41

27 Cost of Sales

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Raw Material Consumed	6,122,328,104.82	5,424,264,037.65
Total Raw Material Consumed	6,122,328,104.82	5,424,264,037.65
Production and Manufacturing Overheads	2,747,220,080.07	2,537,998,708.47
Gross Cost of Production	8,869,548,184.89	7,962,262,746.12
Cost of Consumable Sold	-	82,553.50
Cost of Goods	8,869,548,184.89	7,962,345,299.62
Changes In Inventory Of		
- Finished Goods	(100,877,890.24)	445,391,988.29
- WIP	(18,860,106.70)	(44,336,459.79)
- Usable Waste	1,698,812.15	(23,867,202.05)
- Waste	(3,044,646.20)	1,406,879.40
Total Cost of Sales	8,748,464,353.90	8,340,940,505.47

27.1 Production and Manufacturing Overheads

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Consumption of Dyes & Chemicals	88,637,820.99	77,407,836.50
Consumption of Packing Materials	175,251,003.27	164,394,905.14
Consumption of Stores & Spares	283,937,788.85	219,901,294.20
Wages & Salaries	775,237,292.15	738,668,341.16
Labour Welfare	1,762,734.99	2,139,449.02
Power & Fuel	872,992,335.40	828,721,749.38
Insurance Charges	46,909,716.19	42,181,406.65
Repairs & Maintenance-Plant & Machinery	21,383,896.03	22,140,096.71
Repairs & Maintenance-Building	4,017,290.99	5,840,586.19
Laboratory Expenses	585,030.49	638,153.12
Factory General Expenses	1,790,110.19	1,341,165.17
Depreciation	474,715,060.53	434,623,725.23
Total	2,747,220,080.07	2,537,998,708.47

Reliance Spinning Mills Ltd.
Significant Accounting Policies and Notes to Financial Statements
For the year ended Ashad 32, 2082

28 Other Income

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Rental Income	9,092,327.45	9,218,192.70
Interest Income	33,592,387.69	21,160,243.58
Gain on Revaluation of long term benefits	-	11,681,186.12
Sundry Balances written Back	512,715.23	11,238,559.81
Gain on Sale of Fixed Assets	6,713,638.83	-
Miscellaneous Income	2,301,495.71	4,523,498.00
Total	52,212,564.91	57,821,680.21

29 Selling and Distribution Expenses

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Commission on Sales	95,550,748.29	54,975,670.61
Business Promotion Expenses	1,116,611.61	3,540,251.00
Export Sales Expenses	48,992,718.67	26,899,575.19
Local Sales Expenses	36,948,516.98	35,707,463.17
Total	182,608,595.55	121,122,959.97

Reliance Spinning Mills Ltd.
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30 Administrative & Other Expenses

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Advertisement Exp.	613,973.38	248,227.76
Audit Fees	1,000,000.00	500,000.00
Bank Charges	3,044,646.25	2,690,152.97
Books & Periodicals	35,706.67	41,429.15
Charity & Donation	352,000.00	143,890.00
Electricity	632,235.00	615,388.49
Gardening	90,480.00	200,699.73
General Expenses	1,343,995.89	1,259,754.30
Leave	8,325,893.00	7,789,942.00
Guest Entertainment	1,098,946.24	2,127,808.89
House Keeping Expenses	258,000.00	258,000.00
Legal & Professional Fees	4,281,459.21	2,171,550.47
Membership & Subscription	46,000.00	45,776.00
IPO Expenses	2,230,123.93	-
Postage & Telegram	1,162,840.67	1,257,909.33
Printing & Stationery	3,255,806.39	3,050,366.85
Pooja Expenses	600,894.25	469,412.10
Rates & Taxes	3,262,131.98	2,928,655.59
Recruitment & Training	16,800.00	483,012.60
Rent	1,977,900.25	1,869,000.26
Repairs & Maintenance- Others	2,201,312.09	2,268,900.42
Salaries	116,052,041.38	110,452,284.03
Security Expenses	12,595,001.01	12,067,178.55
Staff Welfare	1,753,542.35	3,270,708.86
Telephones & Telex	1,968,725.97	2,015,929.49
Travelling & Conveyance	2,281,385.34	6,212,365.89
Exchange Difference (Net)	50,241,500.40	28,113,607.62
UK Aid Training	12,483,293.28	-
Loss on Sale of Assets	-	613,766.14
Vehicle Repair & Maintenance	4,463,190.32	3,977,561.55
Vehicle Running	4,580,237.17	4,813,556.71
Depreciation	13,035,739.64	13,500,161.19
Bonus to Staff	60,247,963.12	10,108,316.27
CSR Expenses	6,024,796.31	1,010,831.62
Total	321,558,561.49	226,576,144.83

Reliance Spinning Mills Ltd.
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30A Depreciation and Amortisation Expense

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Depreciation of Tangible Assets	482,138,512.62	442,222,108.39
Depreciation of Right of use Assets	5,612,287.55	5,722,586.20
Amortisation of Intangible Assets	-	179,191.83
Total	487,750,800.17	448,123,886.42

Depreciation Disclosure:

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
- Cost of Sales	474,715,060.53	434,623,725.23
- Administrative Expenses	13,035,739.64	13,500,161.19
Total	487,750,800.17	448,123,886.42

31 Allowance for Expected Credit Loss

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
ECL Allowance	261,285.56	2,419,111.68
Total	261,285.56	2,419,111.68

**Refer Note no. 35*

32 Finance Cost

Finance Cost comprises of interest on borrowings, lease liabilities and allied charges. All these costs are carried at amortized cost using effective interest rate which is assumed to be bank interest rate.

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Interest Expense	440,754,467.08	469,541,211.91
Interest on Lease Liabilities	2,649,981.23	3,150,246.35
Total	443,404,448.31	472,691,458.26

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33 Income Tax

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

A) Current Tax

Current tax is the expected tax payable or recoverable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

B) Deferred Tax

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected realization or settlement of the carrying amount of assets and liabilities using tax rates at the balance sheet date.

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Current Tax Expense		
Provision for income tax	(10,671,178.79)	(7,594,609.07)
Previous years tax	-	(795,750.83)
Total Current Tax Expense	(10,671,178.79)	(8,390,359.90)
Deferred Tax		
Origination and reversal of temporary differences	(107,281,064.00)	(41,298,178.00)
Recognition of previously unrecognized deferred tax assets	-	-
Total Deferred Tax Income / (Expense)	(107,281,064.00)	(41,298,178.00)
Total Tax (Expense)/Income for the Year	(117,952,242.79)	(49,688,537.90)

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33.1 Reconciliation of tax expense and the accounting profit multiplied by Company's tax rate for 2081-82 and 2080-81:

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Profit before income tax	593,764,221.91	100,072,331.06
Effects on income tax of:		
Income not subject to income tax	(6,713,638.83)	-
Expenses (deductible)/not deductible for tax purposes	(569,012,683.08)	(289,550,895.65)
Prior year under/(over) provision	-	-
Net effect	(575,726,321.91)	(289,550,895.65)
Taxable Income	18,037,900.00	(189,478,564.59)
Income not subject to income tax		
Miscellaneous Income	6,713,638.83	-
Exchange gain	-	-
Insurance Claim	-	-
Total	6,713,638.83	-
Expenses (deductible)/not deductible for tax purposes		
Difference in Depreciation as per Income tax Act & Books	(403,513,118.00)	(300,166,770.00)
(Allowed)/Disallowed Other Expenses	20,933,471.37	(6,581,826.65)
(Allowed)/Disallowed exchange difference	20,630,023.00	12,812,486.00
Disallowed finance cost	-	-
Past Year Losses	(211,961,320.45)	-
Disallowed Repairs and Maintenance Expenses	4,898,261.00	4,385,215.00
Total	(569,012,683.08)	(289,550,895.65)
Prior year under/(over) provision		
Prior Period Expenses	-	-
Total	-	-
Tax	-	-

Tax on Taxable Income	For the year ended Ashad 32, 2082		For the year ended Ashad 31, 2081	
	Taxable Income	Tax Amount	Taxable Income	Tax Amount
Manufacturing Income	(24,646,815.16)	-	(219,857,000.87)	-
Investment Income	42,684,715.16	10,671,178.79	30,378,436.28	7,594,609.07
Total Income	18,037,900.00	10,671,178.79	(189,478,564.59)	7,594,609.07

Reliance Spinning Mills Ltd.
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For the year ended Ashad 32, 2082

34 Related Party Disclosure

I. List of related parties where control exists and also other related parties with whom transactions have taken place and relationships:

S. No.	Name of Related Parties	Nature of Relationship
(a) Key Management Personnel (KMP):		
	Mr. Pawan Kumar Golyan	Chairman
	Mr. Akshay Golyan	MD
	Mr. Anil Kumar Somani	CFO
(b) Others:		
	Shivam Plastics Industries Ltd.	Other Related Parties
	MS Trading International	Other Related Parties
	Tricot Industries Pvt. Ltd.	Other Related Parties
	Prozeal Green Energy Nepal Pvt. Ltd.	Other Related Parties

II. The following transactions were carried out with the related parties in the ordinary course of business:

Name of Related Parties	Relationship	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
(a) Purchases*			
Shivam Plastics Industries Ltd.	Other Related Parties	25,868,303	23,080,360
MS Trading International	Other Related Parties	2,435,687	3,116,611
Prozeal Green Energy Nepal Pvt. Ltd.	Other Related Parties	1,000,000	0
(b) Sales*			
Shivam Plastics Industries Ltd.	Other Related Parties	564,257	591,030
Tricot Industries Pvt. Ltd.	Other Related Parties	2,745,997	2,286,322
(c) Rental Income:			
Shivam Plastics Industries Ltd.	Other Related Parties	7,458,900	7,458,900
(d) Salary & Allowances:			
Mr. Anil Kumar Somani	CFO	6,651,248	5,187,747
(d) Payment of Dividend:			
Mr. Pawan Kumar Golyan	Chairman	-	83,422,280
Mr. Akshay Golyan	MD	-	87,307,720

* Amounts are exclusive of taxes

III. Outstanding Balances

Name of Related Parties	As at Ashad 32, 2082	As at Ashad 31, 2081
<u>Payables</u>		
Shivam Plastics Industries Ltd.	5,047,265	3,133,168
MS Trading International	573,402	503,460
Prozeal Green Energy Nepal Pvt. Ltd.	223,000	-
<u>Receivables</u>		
Shivam Plastics Industries Ltd.	657,735	205,859
Tricot Industries Pvt. Ltd.	585,637	2,158,084

Terms and Conditions of Transactions with related parties

Outstanding Balances at the year end are unsecured and settlement occurs in cash. There have been no guarantee provided or received for any related party receivables or payables. This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

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35 Trade Receivables & Other Financial Assets and Expected Credit Loss Provision

Trade Receivables

Trade receivables and other financial assets are initially recognized at their transaction value and subsequently measured at amortized cost, net of any impairment provisions. The company applies the simplified approach for measuring expected credit losses (ECL), which requires the recognition of lifetime ECL from the time the receivables are initially recognized.

Credit Risk Management

The Company's receivables & Other financial assets are exposed to credit risk, the risk that customers will fail to meet their payment obligations as they fall due. To manage this risk, the company applies an ECL model based on both historical data and forward-looking information, such as the macroeconomic environment of customers' countries and industries. The company has divided its receivables into categories based on geographical location and customer credit history, applying different ECL models accordingly.

1. Export Receivables

(a) Export to Third Countries (Cash Against Document Financing & Letter of Credit)

The Company's export receivables to third countries are primarily settled through Cash Against Document (CAD) financing or Letters of Credit (LC) issued by reputable international banks. These financial institutions are considered creditworthy, and the political and economic conditions in the relevant countries are stable. Given the secure nature of CAD and LC financing, the risk of default is deemed minimal. However, a few customers have receivables overdue by more than 365 days, with legal cases currently pending in court, which poses some potential risk.

Probability of Default (PD): Based on the creditworthiness of the banks and the secured nature of CAD financing, the company has determined that the PD is **immaterial**, and no ECL provision has been recognized for normal receivables where as 10% PD has been considered for parties mention in Note 43.

(b) Export to India

The Company's export receivables to India are based on open credit terms. The majority of customers have demonstrated strong payment histories, and India's political and economic conditions are stable, leading to a very low risk of default for most receivables. However, there are few customers whose receivables are overdue by more than 365 days, and these have been identified as higher risk.

For receivables with good credit history and no significant issues: Probability of Default (PD): 0.01%, based on the customer's credit history and favorable political/economic conditions.

For the two overdue customers with payments outstanding for more than 365 days: Probability of Default (PD): 3%, reflecting the increased risk due to the extended overdue period.

2. Local Receivables & other financial assets

The company applies a provision matrix to measure ECL for local trade receivables & other financial assets, segmented based on the aging of receivables and their associated **Probability of Default (PD)**. The company has determined the PD rates in the range of 0.01 to 10% on Tire basis :

The Loss Given Default (LGD) is assumed to be 100% for local receivables, as no significant collateral or guarantees are in place.

The total ECL provision for local receivables has been calculated based on these PD rates and recognized in the financial statements.

3. Reconciliation of ECL Provision

A reconciliation of the movement in the ECL provision for the reporting period is as follows:

Category	Opening Balance	Provision for the Period	Utilization/ Write-off	Closing Balance
ECL provision	1,933,656.52	261,285.56	70,972.35	2,123,969.73

Credit Risk Disclosure

The company actively monitors its trade receivables and adjusts the ECL model based on customer payment behavior and changes in the macroeconomic environment. The current provisions reflect management's best estimate of expected credit losses based on available information as of the reporting date.

This disclosure addresses both export and local receivables, with specific treatment for **CAD financing** (no ECL), export to India (low PD for most, higher for overdue accounts), and **local receivables & other financial assets** with tiered PD rates based on aging.

36 Changes in defined benefit obligations

Particulars	Current Year
Defined benefit obligations as at the beginning of the year	17,008,018.00
Service cost	6,865,259.00
Interest cost	1,460,634.00
Benefit payments during the year	(1,557,510.00)
Actuarial (gain)/ loss - financial assumptions	-
Actuarial (gain)/ loss - experience	(2,690,613.00)
Defined benefit obligations as at the year end	21,085,788.00

Defined benefit obligations as at The Year End	Amount
Non Current	15,089,128.00
Current	5,996,660.00
Total	21,085,788.00

Reliance Spinning Mills Ltd.
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37 Declared and Proposed Dividends

Dividends payable to the Company's shareholders are charged to equity in the period in which they are declared. Proposed dividends are disclosed in notes separately until declared.

37.1 Declared and Approved During the Year

Amount in NPR

Particulars	Amount
Dividend on Ordinary Shares for the FY 2081-82 :	-
Interim Dividend on Ordinary Shares:	-
Total Dividend Declared	-

37.2 Proposed for Approval (Not Recognised as a Liability as at Balance Sheet Date)

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Interim Dividends on Ordinary Shares	-	-
Total Dividend Proposed	-	-

38 Leases

38.1 Company as Lessee :

The company has applied NFRS 16 using the modified retrospective approach using incremental borrowing rate, under which the cumulative effect of initial application is recognized in retained earnings at Shrawan 1, 2078.

38.1.1 Practical Expedients Applied:

In applying NFRS 16 for the first time, the Company has used the following practical expedients:

- Applying a single discount rate to a portfolio of leases with reasonably similar characteristics.
- Accounting for operating leases with a remaining lease term of less than 12 months as at Shrawan 1, 2078 as short-term leases
- Using hindsight in determining the lease term where the contract contains options to extend or terminate the lease.

38.1.2 Movement in the Lease Liability During the Year:

Particulars	As at Ashad 32, 2082
Opening Balance	26,309,723.26
Add: Recognition on account of adoption of NFRS 16	-
Add: Additions during the year	-
Add: Interest accrued during the year	2,649,981.23
Less: Payment of lease liabilities	7,700,221.48
Less: Derecognition during the year	441,194.61
Total	20,818,288.40

38.1.3 Maturity Analysis

Particulars	As at Ashad 32, 2082
Less than one year	8,229,257.76
One to five years	12,589,030.64
More than five years	-
Total	20,818,288.40

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38.1.4 Amounts recognised in Statement of Profit and Loss:

Particulars	For the year ended Ashad 32, 2082
Interest on lease liabilities in Finance Cost	2,649,981.23
Lease payments not recognised as a liability	1,977,900.25
Total	4,627,881.48

38.1.5 Amounts Recognised in the Statement of Cash Flows

Particulars	For the year ended Ashad 32, 2082
Total cash outflow for leases	7,700,221.48
Total	-

38.1.6 Disclosures for Operating Leases Other than Leases Covered in NFRS 16

The Company has entered into cancellable operating leases and transactions for leasing of residential units. The tenure of lease is generally one to two years.

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Lease expense recognised in the statement of profit and loss for the year	1,977,900.25	1,869,000.26

38.2 Company as Lessor :

The Company is not required to make any adjustments on transition to NFRS 16, Leases, for leases in which it acts as a lessor.

The Company has given Land & godown on operating lease. The lease term is for non cancellable period of one to five years and renewable at the option of the Lessor.

Future minimum lease receipts over non cancellable period of operating leases are as follows :

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Lease income recognised in the statement of profit and loss for the year	9,092,327	9,218,193
The future minimum lease receivable over the next one year	8,702,334	8,746,643
The future minimum lease receivable later than one year but not later than five years	-	-
The future minimum lease payments payable later than five years	-	-

There are no any finance lease entered into by the company during the year.

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39 Earnings Per Share

Amount in NPR

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
I. Net profit attributable to Shareholders for Basic earnings	475,811,979.12	50,383,793.16
II. Net profit attributable to Shareholders for diluted	-	-
III. Weighted average number of Ordinary Shares for basic EPS	17,073,400.00	17,073,400.00
Effects of Dilution:		
IV. Preference Shares outstanding for conversion	-	-
V. Weighted average number of ordinary shares adjusted for the effect of dilution	17,073,400.00	17,073,400.00
Basic Earnings Per Ordinary Share	27.87	2.95
Diluted Earnings Per Ordinary Share	27.87	2.95

Contingently issuable ordinary shares are treated as outstanding and included in the calculation of diluted earnings per share if the conditions are satisfied (i.e., the events have occurred)."

If the IPO is still pending and shares are not yet issued, the conditions for issuance are not met, and these shares should not be included in the diluted EPS calculation.

40 Corporate Social Responsibility (CSR)

In accordance to the requirement of section 54 of the The Industrial Enterprise Act, 2076 and Rule 34 of The Industrial Enterprise Rules, 2078, the company is required to comply with the provisions of Corporate Social Responsibility (CSR). The amount required to be contributed and spend under CSR is as under:-

Particulars	For the year ended Ashad 32, 2082	For the year ended Ashad 31, 2081
Gross amount required to be spent by the company during the year	6,024,796.31	1,010,831.62
Less: Amount spent by the company during the year	-	500,000.00
Short/(Excess)	6,024,796.31	510,831.62

- 41** In the fiscal year 2081/82, the Company recognizes export incentives as part of its Other Operating Income. The recognition is based on several conditions being met. Firstly, the amount of revenue must be reliably measured. Secondly, it should be probable that future economic benefits will flow to the entity. Thirdly, the Company has made export sales of more than fifty crore rupees during the period.

As per Sub-section 4 of Section 3 of the Guidelines relating to Export Incentives (Second Amendment) 2079, which was amended from the Guidelines relating to Export Incentives, 2075, by a notice issued by the Ministry of Industry, Commerce and Supplies, published in the Nepal Gazette on the 31st of Asoj, 2079: If an industry exports more than fifty crore rupees in a financial year, it may be eligible for a cash incentive of up to a maximum of eight percent.

Regarding the receivable amounts of Rs. 438,594,513.07 for F.Y. 2079/80 (Ashoj to Ashad) and Rs. 538,523,046.08 for F.Y. 2080/81, the Company has received claim settlements from Nepal SBI Bank and Kumari Bank, as these banks will obtain reimbursement from Nepal Rastra Bank (NRB) or the Government of Nepal (GoN). However, as of the date of these financial statements, Nepal Rastra Bank has not yet settled the amounts with the concerned banks.

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42 The Company received approval from SEBON on Ashad 12, 2081 (June 26, 2024) to issue an IPO and had scheduled the first phase for Nepali citizens working abroad on Ashad 27, 2081 (July 11, 2024). However, SEBON, following a letter from the Parliamentary Account Committee, directed suspension of the IPO process on Ashad 26, 2081 (July 10, 2024). In this regard, the Company filed a writ petition against the Government of Nepal, Ministry of Finance, SEBON, and others, stating that the suspension was issued without legal basis and requesting annulment of the directive. The Court, through its judgment dated Bhadra 23, 2082 (September 8, 2025), annulled SEBON's directive and ordered the respondents to provide necessary clearance for the Company's share issuance in accordance with the original approval.

43 During the fiscal year 2078-79, our company exported goods with a consignment value of USD 134,851.54 to M/s. Maximus Synergy Limited. Unfortunately, the party failed to adhere to the applicable rules of their country during the importation of these goods. As a result, the outstanding balance of USD 99,861.54 was not received by our company. To address this issue, we took legal action against the alleged party in the High Court of the Republic of Kenya. Additionally, the Central Bank of Kenya has initiated a criminal case against the same party.

In the fiscal year 2079-80, the High Court granted permission to resell second container to another party, which allowed us to recover USD 23,021. However, it's important to note that there were additional expenses related to shipping, demurrage, certificates of conformity (CoC), and other charges amounting USD 26,399.50 that our company had to bear. Consequently, we filed a case to seek reimbursement for these expenses, in addition to the outstanding amount related to the first container, which is USD 53,221.

As of the present moment, the case is still pending in court. Despite this, our management remains optimistic based on the evidence and facts presented in the case that we will fully recover the outstanding amount. Therefore, the management believes that there is no need to make a provision for this matter in our financial statements. We will continue to monitor the progress of the case closely and take necessary actions as required.

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44 Contingent Liabilities and Commitments

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made.

The Company records a liability for any claims where a potential loss is probable and capable of being estimated and discloses such matters in its financial statements, if material. For potential losses that are considered possible, but not probable, the Company provides disclosure in the financial statements but does not record a liability in its accounts unless the loss becomes probable.

The Company believes that none of the contingencies described below would have a material adverse effect on the Company's financial condition, results of operations or cash flows. It is not practicable for the Company to estimate the timings of the cash outflows, if any, pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the same.

All the contingent liabilities and the commitments given by the Company are disclosed below:

Amount in NPR

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
a) Contingent Liabilities		
(i) Performance Guarantees	752,364,085	613,202,000
(ii) Unexpired Letter of Credit	406,409,931	956,313,374
(ii) Towards Nepal Electricity Authority *		

*The management of the company has opted to book the Electricity Expenses as per the old tariff rate of Nepal Electricity Authority from Bhadra 2072 to Asadh 2077, instead of new tariff rates due to which the liability on account of Electricity expenses have been understated by the Company. In addition, the penalty charges if any on account of non-payment as per new tariff rate has not been recognized as expense for that period. The company has filed an application on administrative review (as described below). Furthermore, the case (Case Number : 077-CP-2133) filed against the Nepal Electricity Authority in the Sunsari District Court of Nepal has been dismissed by the court due to the commencement of the administrative review process. The management is of the view that the matter will ultimately be resolved in the Company's favor and, therefore, no provision has been made in the financial statements.

On 2082.01.26, Nepal Electricity Authority published a notice for the first time, stating that by the end of 2082 Jestha, the company can apply for administrative review by depositing 5 percent of the bill amount in cash or a Class A bank guarantee issued with a validity of one year by the time of mid-2082 Jestha as per Sub-regulation 1&2 of Regulation 55 of the NEA Electricity Regulations 2078. Accordingly, this company has filed an application for administrative review, vide letter No. 456/2081/2082 registered number 6937 dated 2082/02/27 to Nepal Electricity Authority Itahari Distribution Center, as per the rules.

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In the meantime, following the change in Government after the GenZ movement, Nepal Electricity Authority issued a notice dated 12th/13th Kartik 2082 directing entities to pay the disputed amount in instalments upon cancelling cases pending under administrative review. After consultations with the legal team, and based on assurances received during discussions with the Honorable Prime Minister that (i) the administrative review facility would be made available, and (ii) any payment made would be treated as a deposit until completion of the review process, the Company deposited NPR 2,75,00,000 security deposit amount as a part of the disputed amount on 2082/07/20 . Subsequently, the Office of the Prime Minister issued a letter on 2082/07/21 vai challan No.107 to the Ministry of Energy, Water Resources and Irrigation instructing it to facilitate the necessary procedures and ensure that the review mechanism is made available in accordance with prevailing laws and regulations. In this regard, the Company filed case number 082-WO-0570 against the Nepal Electricity Authority on 2082/07/02 to suspend NEA's payment collection, pursue an administrative review, and address other related concerns. The case is still under consideration at the High Court, Patan.

Further, the Government of Nepal on January 9, 2024 (Poush 24, 2080) formed an independent probe commission under the chairmanship of former Supreme Court Justice Girish Chandra Lal to resolve the electricity tariff disputes of dedicated and trunk lines of various industries, including the Company. Based on the commission's report, the Nepal Electricity Authority issued a demand letter to the Company requiring payment of NPR 753,684,335 as outstanding electricity tariff. As mentioned, the matter is currently pending for administrative review. Considering that the Grid Connection Agreement explicitly states that the power shall be supplied as per the load shedding schedule and NEA has failed to furnish data from TOD Meter to prove that the Company received uninterrupted power supply, the Company, in its good faith assessment, believes that it has a strong case against NEA.

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45 Financial Risk Management Objectives and Policies

The Company's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets comprise trade and other receivables, investment in fixed deposits and cash and short-term deposits that arrive directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarized below.

45.1 Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise four types of risk: interest rate risk, currency risk, commodity price risk and other price risk, such as equity price risk.

45.1.1 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a different currency from the Company's functional currency). The Company, as per its risk management policy, uses foreign exchange and other derivative instruments primarily to hedge foreign exchange and interest rate exposure. Any weakening of the functional currency may impact the Company's cost of imports and cost of borrowings and consequently may increase the cost of financing the Company's capital expenditures. Further, the Company manages its foreign currency risk by not holding the receivables and payables in foreign currencies for long durations.

Nature of Exposure	Currency	As at Ashad 32, 2082	As at Ashad 31, 2081
a) Payables			
- Borrowings	USD	4,704,043.00	5,104,043.00
- Other Payables	USD	9,768,830.20	9,359,958.39
- Trade Payables	USD	19,987.54	9,455.36
- Advance from Customers	USD	48,876.06	33,600.00
b) Receivables			
- Trade Receivables	USD	658,700.79	464,138.78

45.1.2 Commodity Price Risk

The Company is affected by the volatility of certain commodities. Its operating activities require the ongoing purchase of raw materials for Yarn production and therefore require a continuous supply of the same.

The Company manages this risk by purchasing materials and supplies from the supplier identified by the company and the Company has long term relation with the supplier.

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45.2 Credit Risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. Credit risk is the risk of financial loss arising from counter-party failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses both the direct risk of default and the risk of deterioration of credit worthiness as well as concentration risks.

The Company has a policy of dealing only with credit worthy counter parties and obtaining sufficient collateral, Bank Gurantees and Sales Usage Letter of Credit where appropriate as a means of mitigating the risk of financial loss from defaults.

45.2.1 Trade Receivables

Customer credit risk is managed by the Company's established policy, procedures and control relating to customer credit risk management. Credit quality of the customer is assessed and individual credit limits are defined in accordance with this assessment.

Outstanding customer receivables are regularly monitored and shipments to majority customers are covered by bank guarantees, Letter of Credit and other credit assurance facilities.

45.2.2 Cash Deposits

Credit risk From balances with banks and financial institutions are managed by maintaining the balances with highly reputed Commercial banks only.

45.3 Liquidity Risk

Liquidity risk is the risk that the Company will face in meeting its obligations associated with its financial liabilities. A material and sustained shortfall in the cash flow could undermine the Company's credit rating, impair investor confidence and also restrict the Company's ability to raise funds.

The Company maintains a cautious funding strategy to mitigate the liquidity risk. The Company's Finance Department regularly monitors the liquidity position to ensure it has sufficient liquidity on going basis to meet the operational needs. The Company monitors its risk to a shortage of funds on regular basis through cash forecast.

The Company maintains a balance between continuity of funding and flexibility through the use of bank overdrafts and bank loans. Access to sources of funding is sufficient.